BANK POLICY

Development Policy Financing

Policy

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Content	This Policy sets out principles and documentation controls for Development Policy Financing (DPF).
Applicable to	Illustrative development financing operations
Issuer	Policy Oversight Office (sample)
Sponsor	Development Financing Policy Unit (sample)

DOCUMENT STATUS

Illustrative policy text created for document-comparison and evidence-analysis testing. It is not issued by, affiliated with, or approved by any real financial institution.

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SECTION I – PURPOSE AND APPLICATION

1. This Policy sets out the principles for Development Policy Financing (DPF) provided to support a Member Country’s development program.

2. This Policy applies to financing operations prepared and administered by the institution under the applicable financing framework.

SECTION II – DEFINITIONS

3. For purposes of this Policy, the following terms apply:

a. Development Policy Financing (DPF) means financing provided in support of a program of policy and institutional actions.

b. Member Country means an eligible country receiving or requesting DPF.

c. Program Document means the document describing the supported program, its expected results, and the institution’s appraisal.

d. Prior Action means a policy or institutional action expected to be completed before approval or disbursement, as applicable.

e. Financing Agreement means the legal agreement setting out the terms and conditions of the financing.

SECTION III – SCOPE AND ELIGIBILITY

4. DPF may be provided as a policy-based loan or guarantee to address actual or anticipated development financing requirements.

5. The institution assesses the Member Country’s economic circumstances, policy framework, governance, poverty and social considerations, and capacity to implement the proposed program.

6. Financing may proceed where the macroeconomic framework is considered adequate and the proposed program is supported by a credible set of policy and institutional actions.

7. The Program Document describes the development objectives, principal policy actions, expected results, and relevant implementation considerations.

SECTION IV – PROGRAM DESIGN AND IMPLEMENTATION

8. The program should be consistent with the Member Country’s development strategy and should identify measurable results where practicable.

9. The institution considers relevant analysis of economic, social, environmental, governance, and public financial management issues when preparing the operation.

10. The Member Country is responsible for implementing the agreed program. The institution reviews progress during supervision and considers whether the program remains consistent with the agreed objectives.

11. Where implementation risks are identified, the Program Document describes the principal risks and the measures proposed to address them.

SECTION V – FINANCIAL MANAGEMENT AND RISK

12. The institution reviews relevant public financial management information to determine whether additional fiduciary measures are necessary.

13. Financing proceeds must be used in accordance with the financing agreement and applicable exclusions.

14. The institution identifies material operational risks and considers appropriate mitigation measures. The Member Country remains responsible for managing implementation risks.

15. If weaknesses are identified in financial management arrangements, the institution may request an action plan or additional controls before or during implementation.

SECTION VI – DOCUMENTATION AND DISCLOSURE

16. A Program Document is prepared for each proposed operation and describes the operation and its appraisal.

17. The institution makes the Program Document publicly available after approval, subject to applicable disclosure requirements and permitted exceptions.

18. Supporting analysis may be referenced in the Program Document. The operation’s records should be retained in accordance with the institution’s general records procedures.

SECTION VII – MONITORING, EXCEPTIONS AND EFFECTIVE DATE

19. The institution reviews implementation progress and evaluates the results of the operation at appropriate stages.

20. Exceptions to this Policy may be considered by the authorized approving official in accordance with applicable procedures.

21. This Policy takes effect on the date stated on its cover page. Questions regarding interpretation should be referred to the policy sponsor.

RELATED DOCUMENTS

• Program Document and supporting analysis

• Financing Agreement

• Implementation and Results Monitoring Plan

• Evidence Register and Risk Register